

the company was given a deadline of March 31, 2010, well in time for the Commonwealth Games, which meant it had only 37 months to complete the project. Rao, a project management expert in GMR who worked in the group's power plants, was roped in with a clear brief from chairman G.M. Rao: "Get the best people in the world and make them perform." The company juggled over 200 contractors and had almost 37,000 people working on the site at peak time. Special permissions were required to import specialised machines and "al-

LONG WAITS AT THE BAGGAGE COUNTER (LEFT) WILL BE A THING OF THE PAST WITH STATE-OF-THE-ART SYSTEMS IN PLACE

ment fee (UDF). This means that it could collect Rs 200 from domestic passengers and Rs 1,300 from those going abroad. However, as per a notification by the Airports Economic Regulatory Authority of India, this was on an assumption that the final project cost would not exceed the original estimate of Rs 8,975 crore. DIAL, however, failed to submit a final project cost in the stipulated time and the regulator appointed an auditor to look into the project cost (and accordingly decide on the UDF). Estimates say that the project will now cost around Rs 12,700 crore. Phase I alone cost Rs 9,000 crore.

At present, DIAL has a revenue

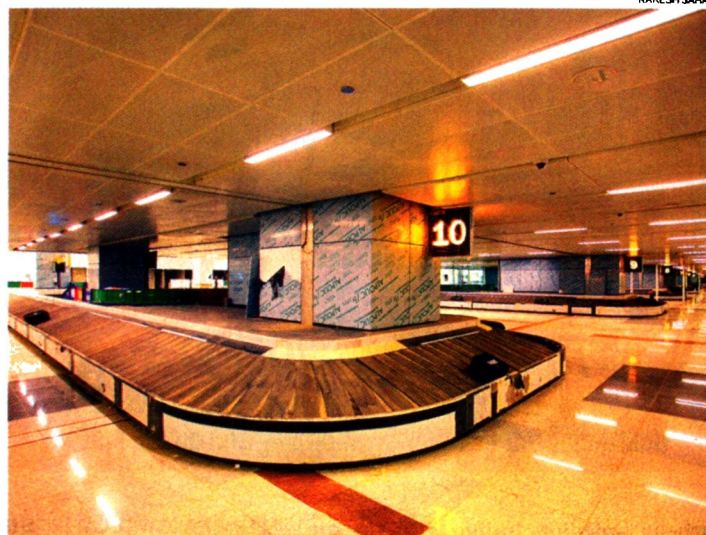
break-up of roughly 60:40 from aeronautical and non-aeronautical sources. For most leading airports, the non-aero revenue is generally 45-60 per cent of their revenue and they use the non-aero revenues from retail and commercial development to subsidise the aero revenues, which include landing and parking fees from airlines. According to Amber Dubey, director, aerospace and defence, KPMG, "DIAL has access to a significantly large land bank at Delhi airport. If things go well, its share of non-aero revenue may touch the 70 per cent mark in a few years from now."

Rao expects it'll be at least five

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RAKESH SAHAJ



most begging companies to provide them the required quantities of steel, cement and stone".

Even as costs soared, DIAL was hopeful of raising money—Rs 2,700 crore from the hospitality sector for construction of hotels on its premises. However, four days before the bidding for the hotels, terrorists attacked the Oberoi and Taj hotels in Mumbai. The formula of using land to bankroll the airport project couldn't quite take off. With a slowdown at home and abroad, many of the big boys of hospitality opted out and eventually, the auction was postponed. According to sources, the company only managed to raise Rs 1,400 crore. In order to make up a shortfall of Rs 1,267.49 crore, DIAL was permitted to impose a user develop-

“ Delhi airport was a national priority project, not a GMR project. That is what we kept in mind. ”



I. PRABHAKARA RAO
CEO, Airport Development, GMR

years before the company can break even at an operating level. Moreover, apart from the 26 per cent equity, 46 per cent of gross revenues have to go to the AAI which is a stakeholder. "Private players need to learn how to do business with the government," he says with a wry smile.

But the team's efforts seem to be paying off. While the Ministry of Civil Aviation is pleased with the progress, other airport operators around the world are taking note and visiting for lessons in best practices. "We even have B-schools coming in to see how this was done in record time," says a company spokesperson. The transformation of Delhi airport from one of the world's worst to among the best has indeed been swift.